

BRIEF - Tuesday, May 26, 2026

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HEADLINE OF THE DAY

*S&P 500 and NASDAQ hit new all-time highs despite US strikes on Iran.** Markets are celebrating progress in US-Iran peace talks (Polymarket: 97.7% chance ceasefire holds) while digesting a major oil shock: WTI at 94.32 (-4%) and Brent at 97.35 (-7.3%) after flirting with \$100+. Kevin Warsh confirmed as new Fed Chair - the "Warsh Revolution" is underway. Gold corrects to 4,506 (-0.55%) despite geopolitics, US yields remain elevated. VIX collapses to 16.8 (-3.67%) - the market fears nothing.

GLOBAL SENTIMENT

****VIX** ? 16.80 (-3.67%) | ? Compressed**

****DXY** ? 99.23 (+0.12%) | ? Stable**

****Gold** ? 4,506 (-0.55%) | Correcting**

****US 10Y** ? 4.50% (-1.57%) | ? Declining**

****US 30Y** ? 5.02% (-1.84%) | ? Declining**

****US 5Y** ? 4.20% (-0.59%) | ? Neutral**

****US 2Y** ? 3.58% (+0.70%) | ? Rising short end**

****S&P 500** ? 7,517 (+1.55%) | ? New high**

****NASDAQ** ? 26,625 (+2.05%) | ? New high**

****WTI** ? 94.32 (-4.01%) | Falling**

****Brent** ? 97.35 (-7.30%) | Sharp fall**

****BTC** ? 76,594 (+1.46%) | ? Bullish**

****Copper** ? 6.40 (+1.67%) | ? Growth**

****Silver** ? 76.38 (+0.70%) | ? Bullish**

The market is in "euphoric risk-on" mode. Stocks at all-time highs, VIX in freefall, oil retreating after the Iran tension peak. The paradox: gold corrects despite active geopolitics because real US yields remain attractive (10Y at 4.5%) and the dollar holds firm. Copper surges (+1.67%) - signal of robust global growth, driven by China (PMI 52.2). BTC at 76k confirms risk appetite.

MACRO - What Moved

US

Kevin Warsh confirmed as new Fed Chair - Sworn in Friday, promises a "reform-oriented Fed." Paul Tudor Jones says there's "no chance" Warsh will get rate cuts. Market now pricing a rate hike as the next move (CNBC survey). Warsh hinted at a new reading of the Fed's power over swap lines.

US inflation rising - CPI at 3.7% YoY - Energy surged 17.9% (steepest since September 2022), gasoline +28.4%, fuel oil +54.3%. Core CPI rose to 2.8%, highest since September. Monthly CPI at 0.6% (easing from 0.9% in March but still elevated). Services and food inflation also accelerating.

US GDP at +2.0% in Q1 2026 - Consumer spending slowed to 1.6% (vs 1.9% in Q4). Government spending rebounded 4.4% after shutdown ended. Imports jumped 21.4% vs exports at +12.9% - net trade weighs negatively.

Consumer Confidence in freefall - 44.8 in May (vs 49.8 in April) - This is an ALL-TIME LOW (historical average: 84.5). 57% of consumers spontaneously cite high prices as threatening their finances. 1-year inflation expectations rise to 4.8%, long-run to 3.9% (vs 3.5%). The US consumer is depressed.

Unemployment at 4.3% but weak signals beneath the surface - Labor force shrank by 92,000, participation rate fell to 61.8% (lowest since October 2021). U-6 rate (underemployment) rose to 8.2% from 8.0%. Weekly jobless claims at 209K.

Housing under pressure - S&P/Case-Shiller Home Price YoY at 0.8% (vs 0.9%). House Price Index at 441.5, nearly flat. MBA mortgage rates at 6.56% - housing market remains frozen.

Wholesale inflation (PPI) up 6% in April - Largest increase since 2022. Pipeline inflation continues to propagate.

EU

ECB: internal divergence on monetary policy - Isabel Schnabel (Board member) says the ECB should RAISE rates in June. Lane forecasts an upward revision to inflation forecasts in June. Sleijpen says the ECB will do "everything in its power" to tame inflation. Market now in "hawkish ECB" mode.

Eurozone inflation rising - Energy surged 10.8% (steepest since February 2023), linked to Middle East supply constraints. Non-energy industrial goods inflation accelerates to 0.8%. Services slow to 3.0%.

UK: exports to US plunge 25% - Direct consequence of Trump's "Liberation Day" tariffs. UK unemployment rises. CBI Distributive Trades at -46 (vs -68, consensus -60) - improvement but still contracting.

Italy: Meloni criticizes EU bureaucracy - She claims EU bureaucrats stifle economic growth. The EU's plan to turbocharge Italy's economy has not worked according to the FT.

ECB Financial Stability Review published Wednesday - FT reports that private credit fueled by the AI boom poses a risk to the financial system. Deregulation benefits top US and UK banks by \$1.3tn.

CHINA

Manufacturing PMI at 52.2 in April (vs 50.8 in March) - Strong expansion. New orders recorded their 2nd highest growth rate in nearly 5 years. Input price inflation accelerated to the highest level in 4 years (raw materials + oil). Output prices at highest in 4.5 years. China is exporting inflation.

Industrial profits (YTD) up 15.5% in April - Acceleration vs 12.0% in March. Chinese industry benefiting from global demand and rising output prices.

New stock market highs despite tensions - FT notes stock markets hitting records despite Iran tensions. AI continues to reshuffle the global stock market hierarchy.

United Kingdom

BoE Bailey speaks Friday - Speech expected at 08:20 CET. Market will scrutinize any signal on the UK rate path.

Nationwide Housing Prices: +0.4% in May, +3.0% YoY - UK housing market showing signs of recovery despite elevated rates.

Wealth Tax debate in UK leadership race - Debate over wealth tax intensifies, potentially impacting financial markets.

EMERGING MARKETS

Sri Lanka: surprise rate hike - EMs defending currencies against dollar pressure. Sri Lanka surprises with a large hike.

Brazil: Lula's stimulus machine - Lula's stimulus machine steamrolls Brazil's sky-high interest rates. IPCA mid-month CPI at 4.37% YoY (vs 4.55%) - slight improvement.

Senegal: dollar bonds slump - Political standoff sinks sovereign bonds.

Bolivia: threat of chaos - Unrest threatens return to chaos, sovereign bonds plunge.

Hungary: moving toward June rate cut - After forint rally, central bank heading toward easing.

GEOPOLITICS

Hot

US strikes Iranian missile sites - US conducted "self-defense strikes" on Iran while peace talks continue simultaneously. Trump says talks "proceeding nicely" but strikes anyway. Strait of Hormuz remains partially blocked - RBC estimates 4 months to recover 80% of pre-war flows. Two LNG tankers passed through the strait (FT) - sign of hope.

Iran: internet partially restored - After months of blackout, Iran has restored partial internet access. Iran's supreme leader says uranium must remain in the country - major sticking point for a deal.

Putin intensifies strikes on Kyiv - Russia seeking momentum in the Ukraine war. EU seeks to fix Baltic defense gaps after drone incursions.

To Watch

US-Iran negotiations: key sticking points - Polymarket pricing at 4.15% for a permanent peace deal by today (May 26), 24.5% by May 31. Key issues: uranium enrichment, sanctions, guarantees. Trump links Abraham Accords to an Iran deal.

Strait of Hormuz: normal traffic by end of May? - Polymarket pricing only 2.75% chance of normal flows by end of May. Europe has "maybe 6 weeks of jet fuel left" (AP). Singapore preparing for prolonged energy disruption.

BP: chair Albert Manifold fired - BP ousted its chair just months after appointment over "serious concerns" about his conduct. Impact on the group's energy strategy.

SpaceX Roadshow after Starship - SpaceX begins roadshow after successful Starship launch. American Airlines chooses Starlink for 500+ planes. But Pentagon sparring with SpaceX over Starlink price hike during Iran war.

Positive

US-Iran ceasefire holding - Polymarket at 97.7% chance ceasefire holds through May 24. European stocks at highest since March.

Two LNG tankers pass through Strait of Hormuz - First concrete sign of energy flow normalization.

Trump sees progress on Iran - US president says talks in "final stages," supporting risk-on sentiment.

FX FOCUS

`EUR/USD` ? 1.1623 (+0.14%) | ? Stable
`GBP/USD` ? 1.3440 (+0.33%) | ? Supported
`USD/JPY` ? 159.35 (+0.20%) | ? Weak yen
`USD/CHF` ? 0.7859 (-0.37%) | ? CHF strengthening

DXY at 99.23 is nearly flat (+0.12%) in a market celebrating Iran peace while pricing a hawkish Fed under Warsh. EUR/USD holds at 1.1623 despite the hawkish ECB-Fed divergence - the ECB talking about a June rate hike (Schnabel) supports the euro. GBP/USD at 1.344 benefits from improved UK sentiment. USD/JPY at 159.35 reflects yen weakness despite geopolitical risk-off - BoJ Governor Ueda speaks Thursday. CHF strengthens (-0.37%) as a safe haven amid persistent Iran tensions.

****Pair to watch:** `USD/JPY` - BoJ Gov Ueda speaks Thursday. If JPY doesn't strengthen despite the**

COMMODITIES

****Oil: WTI 94.32 (-4.01%) | Brent 97.35 (-7.30%)****

Oil falls sharply after flirting with \$100+. Prospect of a US-Iran deal and two tankers passing through the Strait of Hormuz triggered a massive unwind. However, the correction may be premature: RBC estimates 4 months to recover 80% of flows, and Europe has only 6 weeks of jet fuel. Iraq seeks new export routes after production collapse. Fossil energy remains under structural tension.

****Gold: 4,506 (-0.55%)****

Gold corrects despite active geopolitics - an apparent paradox explained by elevated US yields (10Y at 4.5%) and a firm dollar. FT reports gold has been "for over a year a speculative asset" (Cramer). Central banks, which were buying gold at record levels, are now selling. India raises gold and silver taxes to protect the rupee. UBS says the yen remains under pressure due to Japan's negative energy balance.

****Silver: 76.38 (+0.70%)****

Silver outperforms gold, driven by industrial demand and the solar boom in Asia (Iran war stimulating solar sales). Bullish signal.

Copper: 6.40 (+1.67%)

Copper, the "barometer of global growth," surges. China PMI at 52.2 in expansion, robust industrial demand. Positive signal for global growth.

TODAY'S AGENDA

05:00 - SG Industrial Production MoM APR (3.5% | 1.5%)

05:00 - SG Industrial Production YoY APR (9.2% | 12%)

07:00 - ES PPI YoY APR (3.1% | 3.8%) ?

10:00 - GB CBI Distributive Trades MAY (-68 | -60) ?

12:30 - US Chicago Fed National Activity Index APR (-0.15 | -0.3) ?

14:00 - US CB Consumer Confidence MAY (93.8 | 92)

14:30 - US Dallas Fed Manufacturing Index MAY (-2.3 | -1) ?

This week:

Wednesday 5/27: AU Inflation Rate (4.6% YoY), CN Industrial Profits, US Richmond Fed, Fed Logan Speech, FR Consumer Confidence

Thursday 5/28: KR Interest Rate Decision (2.5%), AU Household Spending, ECB Lane + Lagarde Speeches, US Building Permits, ECB Monetary Policy Accounts, BoE Breeden Speech, IT/ES/DE preliminary inflation

Friday 5/29: FR GDP + Inflation, DE Unemployment + Inflation, CA GDP, US Core PCE + Durable Goods + GDP 2nd estimate + Jobless Claims, BoE Bailey Speech, IT GDP + Inflation, BR GDP

DEEP MACRO THEME OF THE DAY

The imported inflation paradox: why the market rises when everything is going wrong.

We are living in a unique moment where the stock market celebrates all-time highs (S&P at 7,517, NASDAQ at 26,625) even as US inflation accelerates (CPI 3.7%, core 2.8%, PPI 6%), consumer confidence is at an all-time low (44.8), oil has surged 30%+ due to the Iran war, and the next Fed move is a RATE HIKE.

The answer lies in the convergence of three factors: (1) the Iran ceasefire reducing the geopolitical risk premium and pushing oil from \$100 toward \$94, (2) the "Warsh Revolution" - a new Fed chair seen as pro-reform and potentially more transparent, reassuring markets on governance, and (3) the AI boom continuing to drive tech valuations (Micron, hyperscalers) and creating autonomous momentum.

But this rally rests on fragile foundations. Energy inflation (energy +17.9% YoY) will continue to propagate into services and wages. The US consumer is depressed and will eventually cut spending.

Friday's core PCE will be a decisive test. If core PCE exceeds 0.3% MoM, the market will need to completely reconsider its "no cut, maybe a hike" scenario.

The real risk is not a recession - it's a stagflationary scenario where inflation remains elevated while slowing growth. This is exactly the scenario that Paul Tudor Jones and other hedge fund managers fear.

CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

"The Iran deal is imminent and will fix everything" ? Polymarket gives only 24.5% chance of a permanent deal by May 31. US strikes continue ALONGSIDE talks. Iran's supreme leader refuses to concede on uranium. The market is too optimistic.

"The Fed won't cut anytime soon, it's already priced in" ? The market is indeed pricing a hike as the next move. But the stock market doesn't seem to realize the implications: if the Fed hikes in a context of freefalling consumer confidence, it's a major bearish risk for equities.

"Energy inflation is temporary" ? Energy surged 17.9% YoY and oil is still at \$94. Second-round effects on services and wages are already visible (shelter +3.3%, services rising). Inflation won't come down quickly.

"The US consumer is holding up" ? Consumer Confidence at 44.8 - ALL-TIME LOW. Consumers are explicitly saying they will cut spending. Retailers are hiring but consumers are sending warning signals.

"AI justifies all valuations" ? The AI boom is real (ByteDance offering special stock to retain AI teams, hyperscalers investing massively). But FT reports AI is creating "clear racial disparities" in hiring and that private credit fueled by the AI boom poses a systemic risk according to the ECB.

"US yields will fall with peace" ? 10Y has fallen to 4.50% but inflation is accelerating. If Friday's core PCE is hot, yields could rise violently.

"Oil will return to \$70" ? Even with an Iran deal, stocks are low, OPEC+ maintains cuts, and global demand remains robust (China PMI in expansion). Oil has a floor at \$85-90.

The alpha:

- 1. Short Consumer Discretionary / Long Staples** - Consumer confidence at an all-time low will translate into discretionary spending slowdown. Rotation into defensive staples. Invalidation: next NFP surprises strongly to the upside.
 - 2. Long USD/JPY toward 160+** - BoJ Ueda speaks Thursday but won't do anything concrete. The US-Japan rate differential remains massive. The yen remains the carry trade funding currency. Invalidation: coordinated G7 verbal intervention.
 - 3. Long Copper (via futures or ETF)** - China PMI in expansion at 52.2, robust industrial demand, energy transition. Copper is the best proxy for real global growth. Target: 6.80. Invalidation: China PMI falls back below 50.
 - 4. Short Gold on rally toward 4,550** - Gold corrects despite geopolitics because real yields are too attractive. As long as 10Y stays above 4.4%, gold has few bullish catalysts. Major support at 4,200. Invalidation: major Iran escalation (Strait of Hormuz closure).
 - 5. Long Volatility (VIX calls) for Friday** - VIX at 16.8 is too low given core PCE on Friday. If PCE surprises to the upside, a volatility spike is likely. The market is underexposed to tail risk. Invalidation: PCE in line with expectations.
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MERTON'S TAKE

*Regime: Fragile risk-on in a context of latent stagflation.**

We are in a market that refuses to see risk. The S&P 500 and NASDAQ at all-time highs with a VIX at 16.8, consumer confidence at an all-time low, accelerating inflation, and oil at \$94 - this configuration

cannot last indefinitely.

The key driver this week will be **Friday's core PCE**. This is the Fed's preferred indicator, and with Warsh having just taken the helm, the market will be ultra-sensitive to any surprise. Consensus is at 0.3% MoM - if we get 0.4%, the market will need to price an even higher probability of a rate hike, and equities will correct.

The second driver is **Iran**. The market is pricing an imminent deal (Polymarket 24.5% by end of May) but strikes continue. If the Strait of Hormuz remains disrupted beyond June, oil will head back toward \$100+ and energy inflation will continue to propagate. This is the black scenario the market is ignoring.

My conviction: the market is too complacent on inflation and too optimistic on the Iran resolution.*
The trade of the week is to reduce exposure to long-duration growth (tech) and position defensively: long USD, long copper, short consumer discretionary, and buy volatility for Friday.

Position:* Underweight tech growth, overweight commodities (copper, oil on weakness), long USD/JPY, hedge via VIX calls for Friday. High cash waiting for clarity on PCE and Iran.

SOURCES CONSULTED

Yahoo Finance API (all real-time prices - S&P 500, VIX, NASDAQ, Gold, Silver, WTI, Brent, Copper, BTC, EUR/USD, GBP/USD, USD/JPY, USD/CHF, US 10Y/30Y/5Y/2Y, DXY)
FT RSS Feed (Home + Markets)
Bloomberg RSS Feed (Markets + Economics + Politics)
CNBC section pages (World, Fed, Markets, Economy, Oil, Gold, Iran)
Trading Economics (full economic calendar - US, EU, UK, Japan, China, EM)
Trading Economics (data pages: US Inflation CPI, US GDP, US Unemployment, US Consumer Confidence, EU Inflation, China PMI)
Polymarket API (prediction markets: Iran ceasefire, peace deal, Hormuz, Fed rates, BTC)
Oilprice.com (energy headlines)
AP News Iran (geopolitical coverage)
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